

BAIN CAPABILITY NETWORK · CUSTOMER COE

Preparation Guide

Pricing · Customer Experience (CE)

· Marketing & CX (MCX)

A domain-focused companion covering the three pillars of Bain's Customer Center of Excellence — Pricing, Customer Experience, and Marketing & Commercial Excellence — with frameworks, worked examples, and practice scenarios for each.

Prepared for Customer CoE interview & case preparation

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01. What the Customer CoE Actually Does

Bain's Customer Center of Excellence (Customer CoE) supports Bain's global case teams across three connected sub-domains. Interviewers will likely probe your understanding of how these three fit together, not just each in isolation.

Track	Core Focus	Typical Deliverables
Pricing	Helping clients capture value they're currently "leaving on the table" through better price setting, structure, and execution	Price waterfalls, willingness-to-pay analysis, price elasticity models, discount governance
CE (Customer Experience)	Diagnosing and improving how customers experience a brand across touchpoints	Journey maps, NPS/CSAT diagnostics, root-cause analysis of experience gaps, CX transformation roadmaps
MCX (Marketing & Customer Experience / Commercial Excellence)	Improving how a company goes to market — brand, marketing effectiveness, sales force, and channel performance	Go-to-market strategy, marketing mix models, sales force effectiveness diagnostics, channel economics

Why these three sit together: Pricing decisions affect customer perception (CE), CX gaps often trace back to service or product decisions covered by MCX, and go-to-market strategy (MCX) is incomplete without a pricing and experience lens. Expect at least one interview question that deliberately spans two of these three areas.

02. Pricing

PRICING

Core Concepts

- **Value-based pricing:** Setting price based on the value a customer perceives/receives, not just cost-plus or competitor benchmarking.
- **Price elasticity of demand:** $\% \text{ change in quantity demanded} \div \% \text{ change in price}$. Elastic ($|E| > 1$) means volume is highly price-sensitive; inelastic ($|E| < 1$) means less sensitive.
- **Willingness to pay (WTP):** The maximum price a customer segment would pay — typically estimated via conjoint analysis, Van Westendorp price sensitivity surveys, or discrete choice modeling.
- **Price waterfall:** The step-by-step erosion from "list price" to "pocket price" through discounts, rebates, payment terms, and freight — often reveals hidden margin leakage invisible at the list-price level.
- **Price segmentation:** Charging different prices to different customer segments based on their WTP (e.g., student discounts, regional pricing, tiered SaaS plans).
- **Psychological/behavioral pricing:** Charm pricing (₹999 vs ₹1,000), price anchoring, decoy pricing in tiered plans.

The Price Waterfall — Explained

Stage	Example Value
List Price	₹1,000
– Invoice discount	–₹80
– Volume rebate	–₹40
– Payment term discount	–₹20
– Freight/logistics cost absorbed	–₹15
= Pocket Price	₹845

A company might believe it's pricing at ₹1,000, when the *actual* realized price is 15.5% lower — pricing engagements often start by simply building this waterfall to find where margin is silently leaking.

WORKED EXAMPLE — PRICE ELASTICITY

Scenario: A company raises the price of a product from ₹200 to ₹220 (a 10% increase). Demand falls from 10,000 units/month to 9,000 units/month (a 10% decrease). What's the price elasticity, and what does it mean for revenue?

Calculation: Elasticity = $-10\% / 10\% = -1.0$ (unit elastic)

Revenue impact: Old revenue = $200 \times 10,000 = ₹20,00,000$. New revenue = $220 \times 9,000 = ₹19,80,000$ — revenue actually *fell slightly* despite the price increase, because demand is roughly unit-elastic. This is exactly the kind of trap a pricing case wants you to catch: intuition says "raise price → raise revenue," but the math says otherwise here.

WORKED EXAMPLE — VALUE-BASED PRICING LOGIC

Scenario: A B2B software tool saves a client company ₹5 lakh/year in labor costs. How would you think about pricing it?

Reasoning: Under value-based pricing, you'd typically anchor the price as a fraction of the value delivered — commonly 10–30% of quantified value for B2B software, leaving the customer with a clear ROI while capturing meaningful value for the vendor.

Answer: A price in the ₹50,000–₹1,50,000/year range would let the customer see a 3–10x return while capturing real value for the vendor — the exact point within that range depends on competitive alternatives and switching costs.

Common pricing case pitfall: Jumping straight to "raise the price" or "cut the price" without first asking whether the real issue is *price level*, *price structure* (how it's charged — per-unit, subscription, tiered), or *price realization* (leakage via discounting) — these are three very different problems with different fixes.

03. Customer Experience (CE)

CUSTOMER EXPERIENCE

Core Concepts

- **Customer journey mapping:** Laying out every touchpoint a customer has with a brand (awareness → purchase → usage → support → renewal) to spot friction points.
- **Net Promoter Score (NPS):** % Promoters (9–10 rating) – % Detractors (0–6 rating), on a scale from –100 to +100. Measures loyalty/advocacy, not satisfaction with a single interaction.
- **CSAT (Customer Satisfaction Score):** Measures satisfaction with a specific interaction or transaction, usually a 1–5 scale.
- **CES (Customer Effort Score):** Measures how much effort a customer had to expend to get something done — lower effort correlates strongly with loyalty.
- **Voice of Customer (VoC):** Systematic collection of customer feedback (surveys, call transcripts, reviews) to identify recurring pain points.
- **Churn driver analysis:** Statistically or qualitatively identifying which experience factors most predict a customer leaving.
- **Root Cause Tree for CX problems:** A dissatisfaction score is a symptom — the CE analyst's job is to trace it back to a specific broken process, unclear communication, or product gap.

WORKED EXAMPLE — DIAGNOSING AN NPS DROP

Scenario: A telecom company's NPS dropped from +25 to +5 over two quarters. How would you diagnose the cause?

Structure:

- **Segment the drop:** Is it happening across all customer segments, or concentrated in one (e.g., new customers, a specific region, a specific plan type)?
 - **Segment by journey stage:** Is it driven by onboarding, day-to-day service quality, billing, or support/complaint handling?
 - **Cross-check with operational data:** Did call-center wait times increase? Did a network outage occur? Did a policy change (e.g., new cancellation fee) coincide with the drop?
- Answer approach:** "I'd first pull NPS by segment and journey stage to localize where the drop is concentrated, then overlay that with operational metrics from the same period — the diagnosis is very different if this is a billing-related detractor spike versus a broad service-quality decline, and the fix should follow whichever the data actually shows."

WORKED EXAMPLE — JOURNEY MAPPING

Scenario: An airline wants to improve its CX. Map a simplified customer journey and identify likely friction points at each stage.

Stage	Likely Friction Point
Booking	Confusing fare rules, hidden fees revealed late in checkout
Pre-flight	Lack of proactive delay/gate-change communication
Airport/Check-in	Long queues, unclear baggage policy enforcement
In-flight	Inconsistent service quality, seat comfort complaints
Post-flight	Slow/opaque complaint resolution, lost baggage handling

Key insight to voice in an interview: The best CX fixes are usually not about grand redesigns — they're about fixing a specific, high-frequency friction point (e.g., proactive delay notifications) that disproportionately drives detractor scores relative to its cost to fix.

04. Marketing & Commercial Excellence (MCX)

MCX

Core Concepts

- **Go-to-market (GTM) strategy:** How a company decides which customer segments to target, through which channels, with what value proposition and pricing.
- **Marketing mix (4 Ps):** Product, Price, Place (distribution/channel), Promotion — the classic lens for diagnosing a marketing problem.
- **Sales force effectiveness (SFE):** Measuring and improving how productively a sales team converts effort into revenue — territory design, quota setting, incentive structure, time allocation.
- **Channel economics:** Comparing profitability and reach across different sales/distribution channels (direct, distributor, e-commerce, retail).
- **Marketing ROI / Marketing Mix Modeling (MMM):** Statistically attributing sales results back to specific marketing spend (TV, digital, promotions) to optimize budget allocation.
- **Brand equity:** The premium a company can charge, or the loyalty it retains, purely due to brand perception rather than product features.

WORKED EXAMPLE — SALES FORCE EFFECTIVENESS

Scenario: A B2B distribution company's sales reps are missing quota despite an increase in headcount. What would you investigate?
Structure:

- **Time allocation:** What % of a rep's week is spent actually selling vs. admin/travel/internal meetings?
 - **Territory design:** Are territories balanced by revenue potential, or did new hires get diluted/overlapping territories?
 - **Incentive structure:** Does the commission plan reward the right behavior (new logo acquisition vs. account retention)?
 - **Pipeline quality:** Is the issue lead generation (top of funnel) or conversion (close rate)?
- Answer approach:** "Quota misses after a headcount increase often means the market wasn't actually big enough to support more reps productively, or the new reps diluted existing territories rather than opening new ones — I'd check revenue-per-rep before and after the hiring, split by tenure, before assuming it's a training or incentive problem."

WORKED EXAMPLE — MARKETING MIX / CHANNEL TRADE-OFF

Scenario: A D2C skincare brand currently sells 70% through its own website and 30% through a large e-commerce marketplace. The marketplace channel has lower margin (due to commission fees) but is growing faster. Should the company invest more in the marketplace channel?

Reasoning: This isn't a simple margin comparison — consider customer acquisition cost (CAC) by channel, lifetime value (LTV) once acquired via each channel (marketplace customers may have lower repeat-purchase rates since the brand doesn't own the customer relationship), and strategic value (marketplace visibility can drive brand discovery that feeds the higher-margin direct channel).

Answer: "I'd compare LTV-to-CAC ratio by channel, not just margin per order — if marketplace customers have low repeat rates, doubling down there may just be renting growth rather than building it, whereas using the marketplace as a discovery channel that funnels repeat buyers to the direct site could capture the best of both."

05. Cross-Domain Analytics Skills

Across Pricing, CE, and MCX, BCN analysts are expected to be comfortable with a common analytical toolkit. You don't need to be an expert, but you should be able to speak to each one.

Skill	Where it's used
Customer segmentation (RFM, needs-based, value-based)	Pricing (WTP segments), MCX (targeting), CE (journey personas)
Regression / driver analysis	CE (NPS driver analysis), MCX (marketing mix modeling)
Survey design basics (Likert scales, conjoint, Van Westendorp)	CE (VoC), Pricing (WTP research)
Cohort analysis	CE (churn by tenure), MCX (channel LTV)
Dashboarding / data visualization	All three — communicating findings to case teams and clients
Excel-based financial modeling	Pricing (waterfall, elasticity), MCX (ROI models)

If asked "what tools do you know": It's fine to be honest about your current level — what matters more is that you can explain *what* each technique is for and *when* you'd reach for it, even if you haven't personally run a conjoint analysis yet.

06. Practice Question Bank

Pricing

Q1. A company's list price is ₹500, but after all discounts the average realized (pocket) price is ₹410. What % of list price is being "leaked"?

Answer: $(500 - 410) / 500 \times 100 = 18\%$ leakage.

Q2. If demand is highly inelastic for a product, is raising price likely to increase or decrease total revenue?

Answer: Increase — with inelastic demand, volume falls proportionally less than the price rise, so revenue (price $\times$ volume) goes up.

Q3. What's the difference between cost-plus pricing and value-based pricing?

Answer: Cost-plus starts from your cost and adds a margin; value-based starts from what the customer is willing to pay based on perceived benefit, regardless of your cost structure.

Q4. A SaaS company wants to move from a flat annual fee to tiered pricing. What's the main risk?

Answer: Existing customers on the flat plan may feel penalized or churn if the new tiers effectively raise their price without added value — grandfathering existing customers is a common mitigation.

Customer Experience

Q1. What's the key difference between NPS and CSAT?

Answer: NPS measures overall loyalty/advocacy toward the brand; CSAT measures satisfaction with one specific interaction or transaction.

Q2. A company has high CSAT scores but declining repeat purchase rates. What might explain this gap?

Answer: Satisfaction with individual interactions doesn't guarantee loyalty — price, competitor offers, or a lack of ongoing engagement (not captured by transactional CSAT) could still drive customers away.

Q3. What is Customer Effort Score (CES) designed to capture that NPS doesn't?

Answer: How much friction/effort a customer experienced completing a task — research shows reducing effort predicts loyalty better than "delighting" customers in many service contexts.

Q4. A retailer sees a spike in detractor (low NPS) comments mentioning "returns." What would you do next?

Answer: Do a root-cause deep dive on the returns process specifically (policy clarity, refund speed, customer service handling) rather than treating it as a general NPS problem — the verbatim comments have already localized the issue.

MCX

Q1. What are the 4 Ps of the marketing mix?

Answer: Product, Price, Place (distribution), Promotion.

Q2. A company increases its marketing budget by 20% but sees only a 5% increase in sales. What are two possible explanations?

Answer: (1) Diminishing returns to marketing spend at the current budget level (saturation); (2) the incremental spend went to a less effective channel than the existing mix.

Q3. What's the difference between reach and frequency in a marketing campaign?

Answer: Reach = number of unique people exposed to the ad; frequency = average number of times each person was exposed.

Q4. Why might a company choose a distributor-led channel over direct-to-consumer despite lower margins?

Answer: Faster market access/reach, lower upfront capital investment, and leveraging the distributor's existing relationships and logistics infrastructure.

Cross-Domain / General Business Judgement

Q1. A retailer both raises prices and redesigns its loyalty program in the same quarter, and NPS falls. How would you isolate which change caused it?

Hint: Look at detractor verbatims/comments for keyword mentions of "price" vs. "loyalty/rewards," and check if the NPS drop is concentrated among loyalty program members specifically.

Q2. A telecom's churn rate rose right after a price increase. Is the fix necessarily to reverse the price increase?

Hint: Not necessarily — check whether churned customers were low-value/low-margin to begin with; sometimes a price increase profitably "prunes" unprofitable customers even as headline churn rises.

07. Two Full Worked Mini-Cases

Mini-Case 1: Pricing

PROMPT

"Our client, a mid-sized consumer electronics company, sells a popular headphone model. Profit margins have been shrinking even as unit sales grow. The client wants to know whether they should raise the price."

Step 1 — Structure: Profit = Revenue – Cost. If units are growing but margin is shrinking, either (a) realized price per unit is falling, or (b) cost per unit is rising, or both.

Step 2 — Ask for data. You learn: list price has stayed flat, but average discount given to retail partners has grown from 10% to 22% over the past year, while unit cost has stayed flat.

Step 3 — Diagnose. This is a price realization problem (waterfall leakage via retail discounting), not a cost or list-price problem.

Step 4 — Recommend:

- Don't raise list price yet — that doesn't fix discount leakage and may hurt competitiveness.
- Audit why discounts have crept up: competitive pressure, weak discount governance, or a specific retail partner negotiating harder?
- Introduce tiered discount governance tied to volume commitments, and consider price segmentation by channel instead of an across-the-board increase.

Why this works: It resists the "obvious" instinct to just raise price, and instead follows the price waterfall logic to find the actual leak.

Mini-Case 2: CE + MCX Combined

PROMPT

"Our client, a fashion e-commerce platform, has seen its NPS decline over the past two quarters. At the same time, their marketing team increased social media ad spend by 40%, which brought in a wave of new first-time customers. What's your take?"

Step 1 — Structure: Consider whether the NPS decline is a genuine experience deterioration, or a compositional effect — the new customer mix (from a big marketing push) may simply have different expectations or lower initial loyalty than the existing base.

Step 2 — Ask for data. You learn: NPS among existing (pre-campaign) customers is flat; the entire decline is concentrated among the new customers acquired via the social campaign.

Step 3 — Diagnose. This is a classic MCX-CE interaction: the marketing channel attracted a customer segment with a mismatch between what the ads promised and what the actual product/delivery experience delivers (e.g., ad-driven expectations around delivery speed or product quality not being met).

Step 4 — Recommend:

- Review the ad creative/messaging for over-promising relative to actual product/service capability.
- Segment onboarding for new customers from this channel with clearer expectation-setting (delivery timelines, sizing guides, return policy visibility).
- Don't cut the campaign purely on NPS — check if these new customers are still net profitable even with lower initial satisfaction; the fix may be experience-side, not spend-side.

Why this works: It correctly treats this as a joint MCX (channel/messaging) and CE (expectation vs. delivery gap) problem rather than blaming either team in isolation.

08. Glossary of Key Terms

Pocket Price

The actual price realized after all discounts, rebates, and allowances — as opposed to list price.

Price Elasticity

Sensitivity of demand to a change in price; $\% \text{ change in quantity} \div \% \text{ change in price}$.

Willingness to Pay (WTP)

The maximum price a customer segment is willing to pay for a product or service.

Van Westendorp Method

A survey technique asking customers at what price a product feels "too cheap," "a bargain," "expensive," and "too expensive" to triangulate an acceptable price range.

NPS (Net Promoter Score)

$\% \text{ Promoters} - \% \text{ Detractors}$, based on "how likely are you to recommend us" (0-10 scale).

CSAT

Customer Satisfaction Score, typically measured after a specific interaction.

CES

Customer Effort Score — measures ease of completing a task with a company.

Voice of Customer (VoC)

Aggregated, systematic capture of customer feedback across surveys, reviews, and support interactions.

Go-to-Market (GTM) Strategy

The plan for how a company reaches and sells to its target customers — segments, channels, positioning, pricing.

Sales Force Effectiveness (SFE)

The discipline of optimizing sales team structure, territories, incentives, and time allocation to maximize revenue per rep.

Marketing Mix Modeling (MMM)

Statistical technique to attribute sales outcomes to different marketing channels/spend levels.

Churn Rate

$\% \text{ of customers who stop doing business with a company over a given period}$.

LTV (Lifetime Value)

The total net profit a company expects to earn from a customer over the entire relationship.

CAC (Customer Acquisition Cost)

The total cost of sales and marketing required to acquire one new customer.

09. A 10-Day Preparation Plan

Days 1-2	Read and internalize the Pricing section — price waterfall, elasticity, value-based pricing. Practice the worked examples by hand.
Days 3-4	Read and internalize the CE section — NPS/CSAT/CES distinctions, journey mapping, root-cause thinking for experience gaps.
Days 5-6	Read and internalize the MCX section — 4 Ps, sales force effectiveness, channel economics, GTM strategy.
Day 7	Work through both full mini-cases without looking at the answers first — then compare your approach to the walkthroughs.
Days 8-9	Drill the practice question bank across all three domains; time yourself to answer each in under 90 seconds.
Day 10	Light review of the glossary and frameworks only. Rest well — domain recall degrades fast under fatigue.

10. Interview-Day Tips Specific to This Domain

- ❑ Explicitly name which of the three sub-domains (Pricing / CE / MCX) a scenario touches before diving in — it signals you understand the practice structure, not just generic business sense.
- ❑ When a case could be read as "pricing" or "CX," say so out loud and pick a lens deliberately — interviewers often design ambiguous prompts specifically to see if you notice the overlap (see Mini-Case 2).
- ❑ Always distinguish price *level*, price *structure*, and price *realization* before recommending any pricing action — this alone separates strong answers from average ones.
- ❑ For CX questions, resist jumping to "improve customer service" as a catch-all fix — always ask which specific touchpoint or driver the data points to first.
- ❑ For MCX questions, be ready to talk about trade-offs (reach vs. margin, direct vs. channel, acquisition vs. retention spend) rather than one-sided recommendations.
- ❑ If you don't know a specific technique (e.g., conjoint analysis), it's fine to say so — but follow up with what you understand its *purpose* to be. Curiosity reads better than pretending familiarity.

Last word: Pricing, CE, and MCX are really three lenses on the same underlying question: how does a company capture the value it creates for customers? Keep coming back to that thread and your answers across all three domains will stay coherent.